

Revenue Forecast — Year 1

Created: 2026-02-28 **Updated:** 2026-02-28 — Costs updated to reflect Y1 Consumption plan for Azure Functions (was EP1 Elastic Premium). Annual infrastructure saving of ~£1,488 flows through to all scenarios. **Currency:** GBP (£) **Related:** [specs/infrastructure-cost-forecast.md](#), [specs/affiliate-network-design.md](#), [specs/payout-design.md](#)

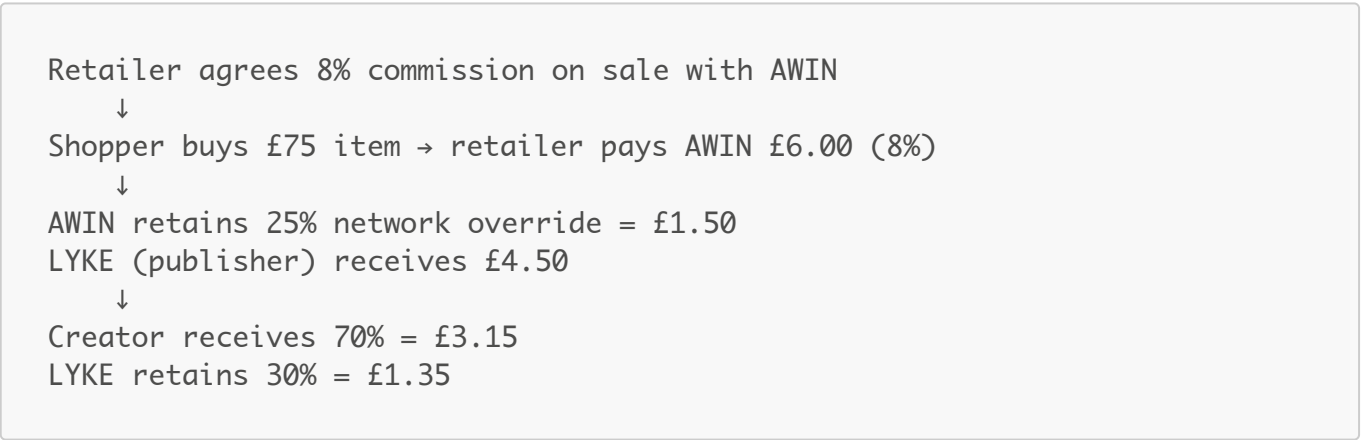
Purpose & Scope

This document models LYKE's projected revenue, costs, and net profit or loss across four user adoption scenarios for the first year. It covers affiliate commission income only — the sole implemented revenue stream. Sponsored placements and retailer insight subscriptions are noted at the end as unmodelled upside.

All cost figures are drawn directly from [specs/infrastructure-cost-forecast.md](#). Revenue figures are derived from the affiliate commission model described in [specs/affiliate-network-design.md](#).

Revenue Model

LYKE earns money when a shopper clicks a product link in a creator's post and subsequently buys from the retailer. The commission chain is:



LYKE's net take per £1 of GMV = 8% × 75% × 30% = 1.8%

At a £75 average order value this yields **£1.35 per conversion** attributable to LYKE's platform revenue. This is LYKE's gross income before operating costs.

Note: Q1 revenue is modelled at 50% efficiency. AWIN is not live until Q2 and the first retailer direct integration will have slower validation and limited attribution tracking.

Shared Assumptions

Engagement Model

Conversions per active shopper per month are derived from a simple funnel:

Sessions/month × posts per session × products per post × CTR × conversion rate

Parameter	Q1–Q2	Q3–Q4	Rationale
Sessions per MAU per month	4	6	Content supply and habit formation grows over time
Posts per session	10	10	Fixed browsing depth
Products visible per post	2.5	2.5	Average tagged products
Total product impressions/MAU/month	100	150	

CTR and conversion rate vary by scenario — see below.

Commission Parameters (fixed across all scenarios)

Parameter	Value	Source
Retailer commission rate	8%	Typical UK fashion on AWIN; varies 5–15% by retailer
AWIN network override	25%	AWIN retains this from gross commission
Creator revenue share	70%	Configured in <code>CommerceSettings.CreatorCommissionShare</code>
LYKE net share	30%	Platform revenue
LYKE effective take rate	1.8% of GMV	8% × 75% × 30%

Infrastructure & Operating Costs

Monthly running costs are taken directly from the cost forecast and held constant across Scenarios 1–3. Scenario 4 incurs additional infrastructure costs from Q3 due to scale.

Period	Base monthly cost	Notes
M1–3	£208	Azure dev+prod (Functions on Y1 Consumption) + subscriptions
M4–6	£321	Redis added; AWIN live
M7–9	£436	Base infrastructure; Stripe fees added separately
M10–12	£557	Full infrastructure; Stripe fees added separately

Stripe Connect fees scale with the number of creators receiving monthly payouts and are added per scenario.

Four Scenarios

Scenario 1 — Minimal Traction

The app launches but struggles to retain shoppers. Content supply is thin, social sharing doesn't materialise, and the creator cohort remains small. The product works but hasn't found its audience.

Monthly Active Users (Shoppers)

Q1	Q2	Q3	Q4	Year-end CMGR
150	400	900	1,500	~22%/month

Engagement assumptions: CTR 2%, Conversion 1.0%, AOV £65

LYKE net per conversion = £65 × 1.8% = **£1.17**

Period	MAU	Revenue/MAU/month	Monthly Revenue	Quarterly Revenue
Q1 (×50% AWIN)	150	£0.012	£2	£6
Q2	400	£0.023	£9	£28
Q3	900	£0.035	£32	£95
Q4	1,500	£0.035	£53	£158
Annual				£287

Scenario 2 — Slow but Steady

The app gains genuine traction through word of mouth within a niche early-adopter community. Creator content quality is high but the shopper base grows slowly. A small number of creators earn meaningfully.

Monthly Active Users (Shoppers)

Q1	Q2	Q3	Q4	Year-end CMGR
400	1,200	3,500	8,000	~30%/month

Engagement assumptions: CTR 3%, Conversion 1.5%, AOV £70

LYKE net per conversion = £70 × 1.8% = **£1.26**

Period	MAU	Revenue/MAU/month	Monthly Revenue	Quarterly Revenue
Q1 (×50% AWIN)	400	£0.029	£11	£34
Q2	1,200	£0.057	£68	£205
Q3	3,500	£0.085	£298	£893
Q4	8,000	£0.085	£680	£2,040
Annual				£3,172

Scenario 3 — Good Product-Market Fit

Body-profile matching resonates strongly. Shoppers return frequently because recommendations convert well. Creators actively promote their LYKE presence to grow their earnings. One retailer partnership delivers measurable return-reduction results, unlocking a second.

Monthly Active Users (Shoppers)

Q1	Q2	Q3	Q4	Year-end CMGR
800	4,000	15,000	40,000	~37%/month

Engagement assumptions: CTR 5%, Conversion 2.5%, AOV £75

LYKE net per conversion = £75 × 1.8% = **£1.35**

Period	MAU	Revenue/MAU/month	Monthly Revenue	Quarterly Revenue
Q1 (×50% AWIN)	800	£0.084	£68	£203
Q2	4,000	£0.169	£676	£2,028
Q3	15,000	£0.253	£3,795	£11,385
Q4	40,000	£0.253	£10,120	£30,360
Annual				£43,976

Scenario 4 — Breakout Growth

A combination of press coverage, retailer co-marketing, and organic social sharing drives rapid acquisition. The creator community becomes a self-sustaining flywheel: more creators bring more shoppers who bring more creators. LYKE becomes a known name in UK fashion.

Monthly Active Users (Shoppers)

Q1	Q2	Q3	Q4	Year-end CMGR
2,000	12,000	50,000	150,000	~43%/month

Engagement assumptions: CTR 7%, Conversion 3.5%, AOV £80

LYKE net per conversion = £80 × 1.8% = **£1.44**

Period	MAU	Revenue/MAU/month	Monthly Revenue	Quarterly Revenue
Q1 (×50% AWIN)	2,000	£0.177	£353	£1,059
Q2	12,000	£0.353	£4,236	£12,708
Q3	50,000	£0.529	£26,450	£79,350
Q4	150,000	£0.529	£79,350	£238,050

Period	MAU	Revenue/MAU/month	Monthly Revenue	Quarterly Revenue
Annual				£331,167

Note: Q3–Q4 infrastructure for Scenario 4 requires scaling beyond the base forecast. Additional cost of approximately £300/month in Q3 and £700/month in Q4 is added for extra Container App replicas, a PostgreSQL read replica, and a Redis tier upgrade.

Annual Profit & Loss Summary

Operating Costs by Scenario

Stripe Connect fees scale with the number of active creators receiving monthly payouts. Creator count is estimated at roughly 1 per 30 MAU, with approximately 25–35% of creators hitting the £50 minimum payout threshold in any given month.

Cost Category	S1	S2	S3	S4
Azure infrastructure	£4,326	£4,326	£4,326	£7,326
Subscriptions (GitHub, Apple, domain)	£241	£241	£241	£241
Stripe Connect fees	£100	£800	£2,200	£9,000
Total annual costs	£4,667	£5,367	£6,767	£16,567

Net Profit / Loss

	S1	S2	S3	S4
Annual revenue	£287	£3,172	£43,976	£331,167
Annual costs	£4,667	£5,367	£6,767	£16,567
Net year 1 P&L	–£4,380	–£2,195	+£37,209	+£314,600

One-time setup costs (Mac Mini £540, Google Play £20) are not included in the P&L above as they are capital items rather than operating expenditure.

Monthly Cash Flow by Scenario

Positive monthly cash flow means LYKE's revenue in that month covers that month's operating costs. Cumulative surplus means total revenue to date exceeds total costs to date.

Scenario 1

Month	Revenue	Costs	Monthly P&L	Cumulative P&L
1	£2	£208	–£206	–£206
2	£2	£208	–£206	–£412

Month	Revenue	Costs	Monthly P&L	Cumulative P&L
3	£2	£208	–£206	–£618
4	£9	£321	–£312	–£930
5	£9	£321	–£312	–£1,242
6	£9	£321	–£312	–£1,554
7	£32	£448	–£416	–£1,970
8	£32	£448	–£416	–£2,386
9	£32	£448	–£416	–£2,802
10	£53	£569	–£516	–£3,318
11	£53	£569	–£516	–£3,834
12	£53	£569	–£516	–£4,350

M7–9 costs include estimated Stripe of ~£12/month. M10–12 include ~£12/month.

Scenario 2

Month	Revenue	Costs	Monthly P&L	Cumulative P&L
1	£11	£208	–£197	–£197
2	£11	£208	–£197	–£394
3	£11	£208	–£197	–£591
4	£68	£321	–£253	–£844
5	£68	£321	–£253	–£1,097
6	£68	£321	–£253	–£1,350
7	£298	£469	–£171	–£1,521
8	£298	£469	–£171	–£1,692
9	£298	£469	–£171	–£1,863
10	£680	£624	+£56	–£1,807
11	£680	£624	+£56	–£1,751
12	£680	£624	+£56	–£1,695

M7–9 costs include estimated Stripe of ~£33/month. M10–12 include ~£67/month. **Monthly cash flow turns positive in month 10** — an improvement over the previous forecast where S2 never achieved positive monthly cash flow in year 1.

Scenario 3 ♦

Month	Revenue	Costs	Monthly P&L	Cumulative P&L
1	£68	£208	−£140	−£140
2	£68	£208	−£140	−£280
3	£68	£208	−£140	−£420
4	£676	£321	+£355	−£65
5	£676	£321	+£355	+£290
6	£676	£321	+£355	+£645
7	£3,795	£619	+£3,176	+£3,821
8	£3,795	£619	+£3,176	+£6,997
9	£3,795	£619	+£3,176	+£10,173
10	£10,120	£1,290	+£8,830	+£19,003
11	£10,120	£1,290	+£8,830	+£27,833
12	£10,120	£1,290	+£8,830	+£36,663

M7–9 costs include estimated Stripe of ~£183/month. M10–12 include ~£733/month.

✦ **Monthly cash flow turns positive in month 4. Cumulative break-even achieved in month 5** — two months earlier than the previous EP1-based forecast where break-even was month 7.

Scenario 4

Month	Revenue	Costs	Monthly P&L	Cumulative P&L
1	£353	£208	+£145	+£145
2	£353	£208	+£145	+£290
3	£353	£208	+£145	+£435
4	£4,236	£321	+£3,915	+£4,350
5	£4,236	£321	+£3,915	+£8,265
6	£4,236	£321	+£3,915	+£12,180
7	£26,450	£1,486	+£24,964	+£37,144
8	£26,450	£1,486	+£24,964	+£62,108
9	£26,450	£1,486	+£24,964	+£87,072
10	£79,350	£4,557	+£74,793	+£161,865
11	£79,350	£4,557	+£74,793	+£236,658
12	£79,350	£4,557	+£74,793	+£311,451

M7–9 costs include estimated Stripe of ~£1,050/month + £300/month extra infra. M10–12 include ~£3,000/month Stripe + £700/month extra infra.

Monthly cash flow positive from month 1. Never dips into cumulative deficit. Month 1 surplus is now £145 (was £26 under EP1), providing a stronger buffer from day one.

Break-Even Analysis

Monthly Break-Even MAU

The number of monthly active shoppers at which revenue covers that month's running costs, shown at representative cost levels for each quarter.

Quarter	Monthly costs	S1 metrics	S2 metrics	S3 metrics	S4 metrics
Q1	£208	86,667 MAU	35,972 MAU	12,303 MAU	5,874 MAU
Q2	£321	13,957 MAU	5,634 MAU	1,900 MAU	907 MAU
Q3	£436	12,451 MAU	5,127 MAU	1,722 MAU	823 MAU
Q4	£557	15,914 MAU	6,553 MAU	2,201 MAU	1,053 MAU

(Q4 costs include baseline Stripe at the cost forecast's base-case creator volumes.)

The key insight: at Scenario 3 engagement levels (5% CTR, 2.5% conversion, £75 AOV), LYKE needs only around **1,700–2,200 MAU** to cover its monthly running costs — down from 2,200–2,750 under the previous EP1 plan. This is a genuinely achievable target and an important early milestone to track.

At Scenario 2 engagement levels, the break-even MAU sits at ~5,100–6,600 — harder but still realistic. At Scenario 1 levels, the break-even is so high (~12,500–16,000 MAU) that a product-level intervention is likely needed before further scaling.

Cumulative Break-Even (When Total Revenue Covers All Costs Incurred to Date)

Scenario	Break-even point
S1	Does not break even in year 1 (deficit of ~£4,350 at year end)
S2	Does not break even in year 1 (deficit of ~£1,695 at year end; monthly cash flow positive from M10)
S3	Month 5 — two months earlier than the previous EP1-based forecast
S4	Month 1 — remains in surplus throughout

Sensitivity Analysis

Using Scenario 3 as the base case (40,000 MAU at year end), the table below shows the impact on annual net profit of varying the three most material assumptions independently.

Varying Click-Through Rate (base: 5%)

CTR	Annual Revenue	Annual Net P&L
3%	£26,386	+£19,619
4%	£35,181	+£28,414
5% (base)	£43,976	+£37,209
6%	£52,771	+£46,004
7%	£61,566	+£54,799

Varying Conversion Rate (base: 2.5%)

Conversion	Annual Revenue	Annual Net P&L
1.5%	£26,386	+£19,619
2.0%	£35,181	+£28,414
2.5% (base)	£43,976	+£37,209
3.0%	£52,771	+£46,004
3.5%	£61,566	+£54,799

(CTR and conversion are proportionally equivalent in the model, so their sensitivity tables mirror each other.)

Varying Year-End MAU (base: 40,000)

Year-end MAU	Annual Revenue	Annual Net P&L
10,000	£11,386	+£4,619
20,000	£22,165	+£15,398
40,000 (base)	£43,976	+£37,209
60,000	£65,748	+£58,981
80,000	£87,520	+£80,753

Varying Average Order Value (base: £75)

AOV	LYKE net/conv	Annual Revenue	Annual Net P&L
£50	£0.90	£29,317	+£22,550
£65	£1.17	£38,112	+£31,345
£75 (base)	£1.35	£43,976	+£37,209
£90	£1.62	£52,771	+£46,004
£110	£1.98	£64,497	+£57,730

UK fashion average order values tend to be higher for dresses and outerwear (£100+) and lower for basics and accessories (£30–50). LYKE's body-profile targeting may naturally skew towards fit-sensitive categories (jeans, dresses, knitwear) where AOV sits in the £65–95 range.

Additional Revenue Upside (Not Modelled)

Two further revenue streams exist in the design but have no implemented billing mechanism yet. They are excluded from all projections above but represent meaningful additional income in year 2 and beyond.

Sponsored Placements

Retailers can pay to promote specific products within the matched feed. The `SponsoredPlacement` entity already exists in the data model with `BudgetAmount` and `SpentAmount` fields. A billing mechanism (Stripe) is needed to actually collect this revenue.

Indicative scale: if 3 retailers each spend £2,000/month on sponsored placements in Q4, that adds £6,000/month — comparable to the entire affiliate revenue from 24,000 MAU at Scenario 3 metrics. Sponsored revenue is high-margin for LYKE since it bypasses the AWIN/creator split.

Retailer Insight Subscriptions

The retailer portal provides anonymised body profile analytics and fit feedback trends. This is currently gated only by authentication — there is no subscription paywall. A monthly SaaS fee of £300–£2,000 per retailer for data access is a natural model. With 5 retailers on paid plans at £500/month, this adds £30,000/year — again, largely pure margin.

Key Risks and Caveats

Risk	Impact	Note
AWIN programme approval delays	Delayed Q2 revenue	Apply to multiple retailer programmes simultaneously
Conversion rate lower than assumed	Revenue scales linearly downward	The body-profile matching thesis is the main driver; test and measure CTR and conversion early
Creator churn	Reduced content → reduced engagement → lower MAU	Creator earnings are the main retention lever; payout experience must be excellent
AWIN transaction declines (returns)	Revenue reversal after payout	Fashion return rates can be 30–40%; only earnings past the attribution window should be treated as confirmed. See <code>payout-design.md</code> .
Single retailer concentration risk	Q1–Q2 revenue is entirely dependent on one retailer	Priority for Q2: second retailer on AWIN

Risk	Impact	Note
Infrastructure costs fixed regardless of revenue	Loss in S1 and S2	Mitigated: Y1 Consumption plan reduces fixed Azure costs by ~£1,488/year vs EP1; Functions now scale to near-zero when idle
Stripe fees scaling faster than expected	Erodes creator payout economics	Monitor active creator count monthly; the £2/account/month fee is the dominant Stripe cost
Functions cold starts under high load	Slower media processing for creators	Monitor p95 processing time; upgrade to EP1 (~£122/month) if creator experience degrades